

NextEra Energy, Inc.

NEE NYSE

Buy	\$86.75 ▲ 1.19%	12M Price Target \$102.00	52-Week Range \$67.20 – \$98.75	Market Cap \$180.93B
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NEE: Reiterate Buy — Data Center Demand Underpins Renewables Backlog

WHAT'S CHANGED

- NEE +1.19% to \$86.75 on 19.3M shares (~2x recent ADV ~10M), the highest-volume session of the week, with Simply Wall St. flagging an 8.5% undervaluation tied to NEE's Dominion data center exposure.
- Bullish options skew: P/C ratio 0.42 with unusual \$87 June call sweep (1,727 contracts, 2.0x OI) suggesting near-term positioning into a breakout above the recent \$86.23 high.

IMPLICATIONS

The convergence of data center power demand narratives (NEE/Dominion, FE coverage) with a Utilities sector bid (+1.61% 5D) reinforces NEE's dual identity as both a defensive yield vehicle and an AI-infrastructure beneficiary via its 300+ GW renewables pipeline at NextEra Energy Resources. Today's volume spike on positive sell-side commentary suggests institutional re-rating is underway as the market increasingly underwrites long-duration PPAs with hyperscalers. With Tech leading (+3.04% 1D) and capital rotating into power-adjacent names, NEE is positioned as the highest-quality pure-play on the electrification thesis within regulated utilities.

VALUATION

At \$86.75, NEE trades at ~23x FY26E EPS and ~14.5x EV/EBITDA, a justified premium to the regulated utility average (~18x) given FPL's superior rate base growth and NEER's renewables optionality. Our \$102 PT (~18% upside) applies 25x to FY27E EPS of \$4.10, supported by 6-8% annual EPS growth guidance and dividend growth of ~10%. Multiple expansion driver: hyperscaler PPA announcements monetizing the backlog at premium pricing.

KEY RISKS

- Interest rate sensitivity — long-duration cash flows pressured if 10Y yields back up materially.
- Policy/regulatory risk: potential IRA tax credit modifications under shifting political backdrop could compress renewables project IRRs.
- Florida regulatory reset risk at FPL on the next rate case; hurricane/storm cost recovery timing.

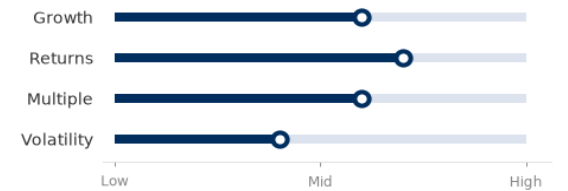
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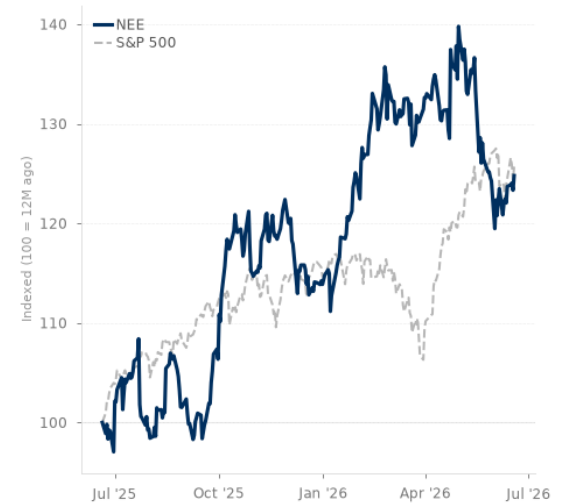
Key Data

Price (USD)	\$86.75
12M Price Target	\$102.00
Upside / (Downside)	+17.6%
Market Cap	\$180.93B
FY2026E Revenue	\$28,500M
FY2027E Revenue	\$31,200M
FY2026E EPS	\$3.75
FY2027E EPS	\$4.10
Fwd P/E	23.1x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$92.00	\$88.00	\$83.00
6 Months	\$98.00	\$92.00	\$80.00
1 Year	\$110.00	\$102.00	\$78.00
2 Years	\$130.00	\$115.00	\$75.00
5 Years	\$175.00	\$145.00	\$85.00
10 Years	\$260.00	\$200.00	\$100.00

SECTOR INTELLIGENCE

HOT SECTORS: Technology (+3.04%), Industrials (+0.73%/+3.29% 5D)

COLD SECTORS: Real Estate (-0.25%/-2.36% 5D), Comm. Services (-2.38% 5D)

ROTATION WATCH: Tech leadership with Utilities bid suggests "AI-power" trade thematics dominating; expect continued bid for grid/generation/transmission names as data center capex narrative compounds.

BYPRODUCT PLAY: Beneficiaries include nuclear SMR developers, transmission equipment (GE Vernova, Eaton), and gas-fired peakers as renewables intermittency requires firming capacity — NEE's gas-to-renewables conversion strategy at FPL captures both sides.

OUTPERFORMERS & PEER CONTEXT

- GEV (GE Vernova): Trefis flagged "shadow backlog" preceding the recent surge — turbine/grid orders outpacing sector as data center capex accelerates.
- FE (FirstEnergy): Zacks cites investment-driven growth and data center demand specifically — regulated T&D peers being re-rated on the same thesis.

NEE CONTEXT: NEE at 62% of 52-week range is mid-pack vs. some accelerating peers but offers superior scale and renewables optionality. Today's 2x volume surge suggests NEE is beginning to catch up to the broader power-demand re-rating, with room to close the gap to its \$98.75 52-week high.

INVESTMENT STRATEGY

8/10 Conviction Score

Position Size: 3-5% of portfolio

Entry Points: \$83-86 on pullbacks; add aggressively below \$80

Time Horizon: 12-24 months

Thesis Invalidation: FPL ROE compression, IRA repeal risk materializing, or backlog cancellations >5%

Hedging: Pair vs. short XLU or long-dated 10Y Treasury puts to hedge rate sensitivity